

Section : Business Studies

Q.1 At which level of management does Directing take place in the organization?

1. Top level
2. Middle level
3. Lower level
4. At all levels of management

Options 1. 1

2. 2
3. 3
4. 4

Q.2 Identify the correct sequence of needs as per Maslow's Need Hierarchy Theory:

- (A) Safety and Security Needs
- (B) Physiological Needs
- (C) Esteem Needs
- (D) Affiliation Needs

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (C), (B), (D)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.3 "A notice is placed on the notice board of the firm specifying the details of the jobs available."

This source of recruitment is:

1. Casual callers
2. Advertisement
3. Direct recruitment
4. Labour contractors

Options 1. 1

2. 2
3. 3
4. 4

Q.4

List-I

(A) Identification given to Product

(B) Part of Brand which can be spoken out

(C) Part of the brand which cannot be spoken out (III) Brand Name

(D) Registered brand name

List-II

(I) Trademark

(II) Brand Mark

(IV) Brand

Choose the correct answer from the options given below:

1. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
2. (A) – (IV), (B) – (III), (C) – (II), (D) – (I)
3. (A) – (I), (B) – (II), (C) – (IV), (D) – (III)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.5 Arrange the steps in the Controlling Process in the correct sequence:

- (A) Analysing Deviations
- (B) Measurement of Actual Performance
- (C) Setting Performance Standards
- (D) Comparing Actual Performance with Standards

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (C), (B), (D)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.6 Name the Financial Decision which determines the capital structure of the company.

1. Investment Decision
2. Financing Decision
3. Dividend Decision
4. Capital Budgeting Decision

Options 1. 1

2. 2
3. 3
4. 4

Q.7 The importance of Consumer Protection from a consumer's point of view is:

- (A) Social Responsibility
- (B) Widespread exploitation of Consumers
- (C) Unorganised Consumers
- (D) Consumer Ignorance

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (B) and (C) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.8 Identify the correct sequence of steps in the Planning Process:

- (A) Evaluating alternative courses
- (B) Implementing the plan
- (C) Selecting an alternative
- (D) Follow-up action

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (C), (B), (D)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.9 Which of the following is *not* a characteristic of entrepreneurship?

1. Setting objectives
2. Innovation
3. Lawful and purposeful activity
4. Systematic activity

Options 1. 1

2. 2
3. 3
4. 4

Q.10 Ms. Sonia is running her own boutique in a posh locality of Delhi on a large scale. She respects the opinions of her hired designers and supports them to perform their duties and accomplish organizational objectives. The type of leadership style adopted by her is:

1. Paternalistic
2. Authoritarian
3. Free-rein
4. Participative

Options 1. 1

2. 2
3. 3
4. 4

Q.11 ensures availability of finance whenever needed.

1. Capital Budgeting
2. Capital Structure
3. Financial Planning
4. Financial Leverage

Options 1. 1

2. 2
3. 3
4. 4

Q.12 "Adherence to the principles of management adds to knowledge, ability and understanding of managerial situations and circumstances."
Identify the point of importance of principles of management stated here.

1. Effective administration
2. Scientific decisions
3. Management training, education and research
4. Providing managers with useful insights into reality

Options 1. 1

2. 2
3. 3
4. 4

Q.13 Which organisational structure facilitates occupational specialisation?

1. Horizontal structure
2. Network structure
3. Functional structure
4. Divisional structure

Options 1. 1

2. 2
3. 3
4. 4

Q.14 Name the function of management that initiates action in the organisation.

1. Planning
2. Organising
3. Directing
4. Controlling

Options 1. 1

2. 2
3. 3
4. 4

Q.15 Which element of the product mix helps in fulfilling the *Right to Information*?

1. Branding
2. Packaging
3. Labelling
4. Trademark

Options 1. 1

2. 2

3. 3

4. 4

Q.16 Match List-I with List-II

List-I

(A) No worker should be unduly favoured

(B) Right material should be placed at right place

(C) Employees should not be transferred so frequently

(D) Manager should replace "I" with "We" in all his conversations

List-II

(I) Equity

(III) Order

(II) Stability of Personnel

(IV) Esprit de Corps

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)

2. (A) - (I), (B) - (III), (C) - (II), (D) - (IV)

3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)

4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2

3. 3

4. 4

Q.17 The deliberate action of an enterprise to enhance and protect its image in society is known as:

1. Marketing

2. Public relations

3. Sales promotion

4. Advertising

Options 1. 1

2. 2

3. 3

4. 4

Q.18 The factors affecting capital structure decisions are:

(A) Fiscal policy

(B) Stock market conditions

(C) Control

(D) Risk considerations

Choose the correct answer from the options given below:

1. (A), (B) and (D) only

2. (A), (B) and (C) only

3. (A), (B), (C) and (D)

4. (B), (C) and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.19 A firm is planning to increase its sales by 25% in the next quarter. Identify the feature of Management being highlighted.

1. Management is Goal Oriented Process

2. Management is Pervasive

3. Management is Continuous

4. Management is Art

Options 1. 1

2. 2

3. 3

4. 4

Q.20 The final result of the Organising Process is that the structure of the organization is created. What sequence of steps is followed by managers for this?

- (A) Departmentalization
- (B) Identification and Division of work
- (C) Establishing reporting relationships
- (D) Assignment of Duties

Choose the correct answer from the options given below:

- 1. (A), (B), (C), (D)
- 2. (B), (C), (A), (D)
- 3. (B), (A), (D), (C)
- 4. (C), (B), (D), (A)

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.21 Which of the following is *not* a competency of an entrepreneur?

- 1. Efficiency orientation
- 2. Commitment to work contract
- 3. Persistence
- 4. Non concern for employee welfare

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.22 The ends which the management seeks to achieve by its operations are:

- 1. Rule
- 2. Objectives
- 3. Policy
- 4. Method

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.23 Which of the following statements is true regarding the nature of Principles of Management?

- 1. They are rigid in nature
- 2. They are flexible in nature
- 3. They provide a straight jacket solution
- 4. They are absolute in nature

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.24 Match List-I with List-II

List-I (Examples)

- (A) Ice cream, medicine, newspaper
- (B) Clothes, shoes, jewellery
- (C) Rare collection of artwork, antiques
- (D) Raw materials, machines, tools

List-II (Types of products)

- (I) Industrial products
- (II) Shopping products
- (III) Specialty products
- (IV) Convenience products

Choose the correct answer from the options given below:

- 1. (A) - (IV), (B) - (II), (C) - (III), (D) - (I)
- 2. (A) - (I), (B) - (III), (C) - (II), (D) - (IV)
- 3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)
- 4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.25 Match List-I with List-II

List-I (Indicative explanation)

- (A) Involves looking ahead
- (B) Anticipate changes
- (C) Activity of thinking rather than doing
- (D) Encourages new ideas

List-II (Features and importance of planning)

- (I) Reduces the risk of uncertainty
- (II) Mental exercise
- (III) Futuristic
- (IV) Innovative

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (III), (B) - (I), (C) - (II), (D) - (IV)
3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options

1. 1
2. 2
3. 3
4. 4

Q.26 The factors affecting choice of capital structure are:

- (A) Cash flow position
- (B) Tax Rate
- (C) Nature of Business
- (D) Cost of Debt

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (B) and (C) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options

1. 1
2. 2
3. 3
4. 4

Q.27 "Workers of ABC Ltd were chit-chatting in their canteen about the behavior of their superior."

This is an example of:

1. Formal communication
2. Grapevine communication
3. Personal barrier of communication
4. Organisational barrier

Options

1. 1
2. 2
3. 3
4. 4

Q.28 Which financial decision relates to committing the company's finances on a long-term basis to different assets?

1. Capital structure decision
2. Financing decision
3. Capital budgeting decision
4. Working capital decision

Options

1. 1
2. 2
3. 3
4. 4

Q.29 The last step in the process of selection is:

1. Job offer
2. Contract of employment
3. Selection decision
4. Reference checks

Options 1. 1

2. 2
3. 3
4. 4

Q.30 The aspects of staffing do not include:

1. Training
2. Selection
3. Assignment of work
4. Recruitment

Options 1. 1

2. 2
3. 3
4. 4

Q.31 refers to storing and assorting products in order to create time utility in them.

1. Warehousing
2. Transportation
3. Communication
4. Order Processing

Options 1. 1

2. 2
3. 3
4. 4

Q.32 Match List-I with List-II

List-I

List-II

(A) Mix between owners fund and borrowed fund

(I) Financial risk

(B) Inability of business to meet its obligation of payment of interest

(II) Capital structure

(C) Proportion of debt and equity in overall capital

(III) Capital budgeting decision

(D) Decisions that affect the amount of assets, competitiveness and profitability of business

(IV) Financial leverage

Choose the correct answer from the options given below:

1. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
2. (A) – (II), (B) – (I), (C) – (IV), (D) – (III)
3. (A) – (II), (B) – (I), (C) – (IV), (D) – (III)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.33 Which Consumer Right gives freedom to consumers to access a variety of products at competitive prices?

1. Right to Safety
2. Right to be Informed
3. Right to be Heard
4. Right to Choose / be assured

Options 1. 1

2. 2
3. 3

Q.34 When Span of Management increases, the number of levels of Management in the organisation:

1. Remains same
2. Increases
3. Decreases
4. Will multiply

Options 1. 1

2. 2
3. 3
4. 4

Q.35 "ABC Ltd. sells products through company-approved retailers." Identify the type of channel of distribution in this case.

1. Zero level Channel
2. One level Channel
3. Two level Channel
4. Three level Channel

Options 1. 1

2. 2
3. 3
4. 4

Q.36 The limitations of Planning are:

- (A) It reduces creativity
- (B) It works in a dynamic environment
- (C) It involves huge costs
- (D) It is time-consuming

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (B) and (C) only
3. (A), (B), (C) and (D)
4. (A), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.37 Factors affecting the working capital requirement are:

- (A) Nature of Business
- (B) Seasonal Factors
- (C) Credit Availed
- (D) Stock Market Conditions

Choose the correct answer from the options given below:

1. (A), (B), and (D) only
2. (A), (B), and (C) only
3. (A), (B), (C), and (D)
4. (B), (C), and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.38 "Tara Ltd is contacting the prospective buyers through its salesmen, who are creating awareness about their new range of products in Cosmetics." Identify the Element of Promotion Mix in this case.

1. Public Relations
2. Sales Promotion
3. Personal Selling
4. Advertisement

Options 1. 1

2. 2
3. 3
4. 4

Q.39 Due to the carelessness of the surgeon, Harish passed away within a week's time after his spine surgery.
Who cannot file a case in this situation?

1. The Consumer
2. Any Registered Consumer Association
3. A legal heir of the deceased consumer
4. Legal Representative of deceased

Options 1. 1

2. 2
3. 3
4. 4

Q.40 H.R. Manager of a firm estimated manpower requirements. What sequence of steps will he follow further?

- (A) Placement and Orientation
- (B) Selection
- (C) Training and Development
- (D) Recruitment

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (C), (B), (D)
3. (D), (B), (A), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.41 Read the passage and answer the following questions:

After completing her Bachelor's in Fashion Designing from a well-known college in London, Aahana opened a boutique in a posh market in Delhi. She divided the work into smaller units and each employee was well-trained to perform his/her work efficiently. The salespersons are allowed to close a deal with the buyers by giving a maximum of 5% discount, whereas the decision to give any further discount rests with Aahana as the final authority.

In the earlier period of her business venture, employees were asked to put in extra hours of work. In return, she had promised to give them a special incentive within a year. Therefore, when the business was doing well, she honored her commitment by giving a bonus to her employees. She also instructed employees that communication from top to bottom should follow the official lines of command.

However, she tends to be more biased towards her female employees when it comes to resolving conflicts among employees.

"The salespersons are allowed to give a maximum of 5% discount, whereas the decision to give an extra discount rests with Aahana."

Identify the Principle of Management highlighted here.

Options:

1. Initiative
2. Authority and Responsibility
3. Unity of Command
4. Unity of Direction

Options 1. 1

2. 2
3. 3
4. 4

Q.42 Read the passage and answer the following questions:

After completing her Bachelor's in Fashion Designing from a well-known college in London, Aahana opened a boutique in a posh market in Delhi. She divided the work into smaller units and each employee was well-trained to perform his/her work efficiently. The salespersons are allowed to close a deal with the buyers by giving a maximum of 5% discount, whereas the decision to give any further discount rests with Aahana as the final authority.

In the earlier period of her business venture, employees were asked to put in extra hours of work. In return, she had promised to give them a special incentive within a year. Therefore, when the business was doing well, she honored her commitment by giving a bonus to her employees. She also instructed employees that communication from top to bottom should follow the official lines of command.

However, she tends to be more biased towards her female employees when it comes to resolving conflicts among employees.

"She divided the work into smaller units and each employee is well trained to perform his/her work efficiently."

Which Principle of Management is followed here?

Options:

1. Decentralisation
2. Discipline
3. Division of Work
4. Order

Options 1. 1

2. 2

3. 3

4. 4

Q.43 Read the passage and answer the following questions:

After completing her Bachelor's in Fashion Designing from a well-known college in London, Aahana opened a boutique in a posh market in Delhi. She divided the work into smaller units and each employee was well-trained to perform his/her work efficiently. The salespersons are allowed to close a deal with the buyers by giving a maximum of 5% discount, whereas the decision to give any further discount rests with Aahana as the final authority.

In the earlier period of her business venture, employees were asked to put in extra hours of work. In return, she had promised to give them a special incentive within a year. Therefore, when the business was doing well, she honored her commitment by giving a bonus to her employees. She also instructed employees that communication from top to bottom should follow the official lines of command.

However, she tends to be more biased towards her female employees when it comes to resolving conflicts among employees.

"She tends to be biased towards female employees when it comes to resolving conflicts among employees."

Which principle is being violated here?

Options:

1. Discipline
2. Order
3. Equity
4. Unity of Direction

Options 1. 1

2. 2

3. 3

4. 4

Q.44 Read the passage and answer the following questions:

After completing her Bachelor's in Fashion Designing from a well-known college in London, Aahana opened a boutique in a posh market in Delhi. She divided the work into smaller units and each employee was well-trained to perform his/her work efficiently. The salespersons are allowed to close a deal with the buyers by giving a maximum of 5% discount, whereas

the decision to give any further discount rests with Aahana as the final authority.

In the earlier period of her business venture, employees were asked to put in extra hours of work. In return, she had promised to give them a special incentive within a year. Therefore, when the business was doing well, she honored her commitment by giving a bonus to her employees. She also instructed employees that communication from top to bottom should follow the official lines of command.

However, she tends to be more biased towards her female employees when it comes to resolving conflicts among employees.

“She instructed employees that communication from top to bottom should follow the official lines of command.”

Identify the Principle of Management here.

Options:

1. Discipline
2. Order
3. Equity
4. Scalar Chain

Options 1. 1

2. 2
3. 3
4. 4

Q.45 Read the passage and answer the following questions:

After completing her Bachelor's in Fashion Designing from a well-known college in London, Aahana opened a boutique in a posh market in Delhi. She divided the work into smaller units and each employee was well-trained to perform his/her work efficiently. The salespersons are allowed to close a deal with the buyers by giving a maximum of 5% discount, whereas the decision to give any further discount rests with Aahana as the final authority.

In the earlier period of her business venture, employees were asked to put in extra hours of work. In return, she had promised to give them a special incentive within a year. Therefore, when the business was doing well, she honored her commitment by giving a bonus to her employees. She also instructed employees that communication from top to bottom should follow the official lines of command.

However, she tends to be more biased towards her female employees when it comes to resolving conflicts among employees.

“When the business was doing well, she honored her commitment by giving a bonus to her employees.”

Identify the Principle of Management here.

Options:

1. Discipline
2. Order
3. Equity
4. Unity of Direction

Options 1. 1

2. 2
3. 3
4. 4

Q.46 Read the passage and answer the following questions:

India's craft heritage is a reflection of its rich customs and traditions, deeply rooted in centuries of artistic excellence. The handicraft industry plays a significant role in the economy, offering immense potential for improving the balance of payments and earning foreign exchange earnings through exports. Understanding the business environment is crucial to charting a future course of action that supports artisans while promoting Indian advantages globally. In line with the Prime Minister's vision, the industry should be extended by linking traditional crafts with modern technology. Focus must be laid on changing the manufacturing process to ensure durability, meet global standards and foster innovation. This approach can open new markets and opportunities, boost India's soft

power abroad, strengthen the sector that not only preserves its heritage but also creates employment & sustainable livelihood.

“The Prime Minister desires that the Handicrafts Industry should be expanded by linking it with technology.”

Identify the Dimension of Business Environment.

1. Economic
2. Social
3. Political
4. Legal

Options 1. 1

2. 2

3. 3

4. 4

Q.47 Read the passage and answer the following questions:

India's craft heritage is a reflection of its rich customs and traditions, deeply rooted in centuries of artistic excellence. The handicraft industry plays a significant role in the economy, offering immense potential for improving the balance of payments and earning foreign exchange earnings through exports. Understanding the business environment is crucial to charting a future course of action that supports artisans while promoting Indian advantages globally. In line with the Prime Minister's vision, the industry should be extended by linking traditional crafts with modern technology. Focus must be laid on changing the manufacturing process to ensure durability, meet global standards and foster innovation. This approach can open new markets and opportunities, boost India's soft power abroad, strengthen the sector that not only preserves its heritage but also creates employment & sustainable livelihood.

“The volume of exports of these products gives India an advantage in Balance of Payments and much-needed Foreign Exchange.”

Identify the Dimension of Business Environment.

1. Economic
2. Social
3. Political
4. Technical

Options 1. 1

2. 2

3. 3

4. 4

Q.48 Read the passage and answer the following questions:

India's craft heritage is a reflection of its rich customs and traditions, deeply rooted in centuries of artistic excellence. The handicraft industry plays a significant role in the economy, offering immense potential for improving the balance of payments and earning foreign exchange earnings through exports. Understanding the business environment is crucial to charting a future course of action that supports artisans while promoting Indian advantages globally. In line with the Prime Minister's vision, the industry should be extended by linking traditional crafts with modern technology. Focus must be laid on changing the manufacturing process to ensure durability, meet global standards and foster innovation. This approach can open new markets and opportunities, boost India's soft power abroad, strengthen the sector that not only preserves its heritage but also creates employment & sustainable livelihood.

“Understanding of Business Environment can be the basis for deciding the future course of action.”

Identify the importance of Business Environment.

Options:

1. It helps in tapping useful resources
2. It helps in coping with rapid changes
3. It helps in improving performance
4. It helps in assisting in planning and policy formulation

Options 1. 1

2. 2

3. 3

Q.49 Read the passage and answer the following questions:

India's craft heritage is a reflection of its rich customs and traditions, deeply rooted in centuries of artistic excellence. The handicraft industry plays a significant role in the economy, offering immense potential for improving the balance of payments and earning foreign exchange earnings through exports. Understanding the business environment is crucial to charting a future course of action that supports artisans while promoting Indian advantages globally. In line with the Prime Minister's vision, the industry should be extended by linking traditional crafts with modern technology. Focus must be laid on changing the manufacturing process to ensure durability, meet global standards and foster innovation. This approach can open new markets and opportunities, boost India's soft power abroad, strengthen the sector that not only preserves its heritage but also creates employment & sustainable livelihood.

"India's craft heritage is surviving because of its customs and tradition."
Identify the dimension of the business environment.

Options:

1. Economic
2. Social
3. Legal
4. Technical

Options 1. 1

2. 2

3. 3

4. 4

Q.50 Read the passage and answer the following questions:

India's craft heritage is a reflection of its rich customs and traditions, deeply rooted in centuries of artistic excellence. The handicraft industry plays a significant role in the economy, offering immense potential for improving the balance of payments and earning foreign exchange earnings through exports. Understanding the business environment is crucial to charting a future course of action that supports artisans while promoting Indian advantages globally. In line with the Prime Minister's vision, the industry should be extended by linking traditional crafts with modern technology. Focus must be laid on changing the manufacturing process to ensure durability, meet global standards and foster innovation. This approach can open new markets and opportunities, boost India's soft power abroad, strengthen the sector that not only preserves its heritage but also creates employment & sustainable livelihood.

"Focus should be on changing the manufacturing process, ensuring durability and adopting innovations."

Identify the Dimension of Business Environment.

Options:

1. Economic Environment
2. Social Environment
3. Legal Environment
4. Technological Environment

Options 1. 1

2. 2

3. 3

4. 4